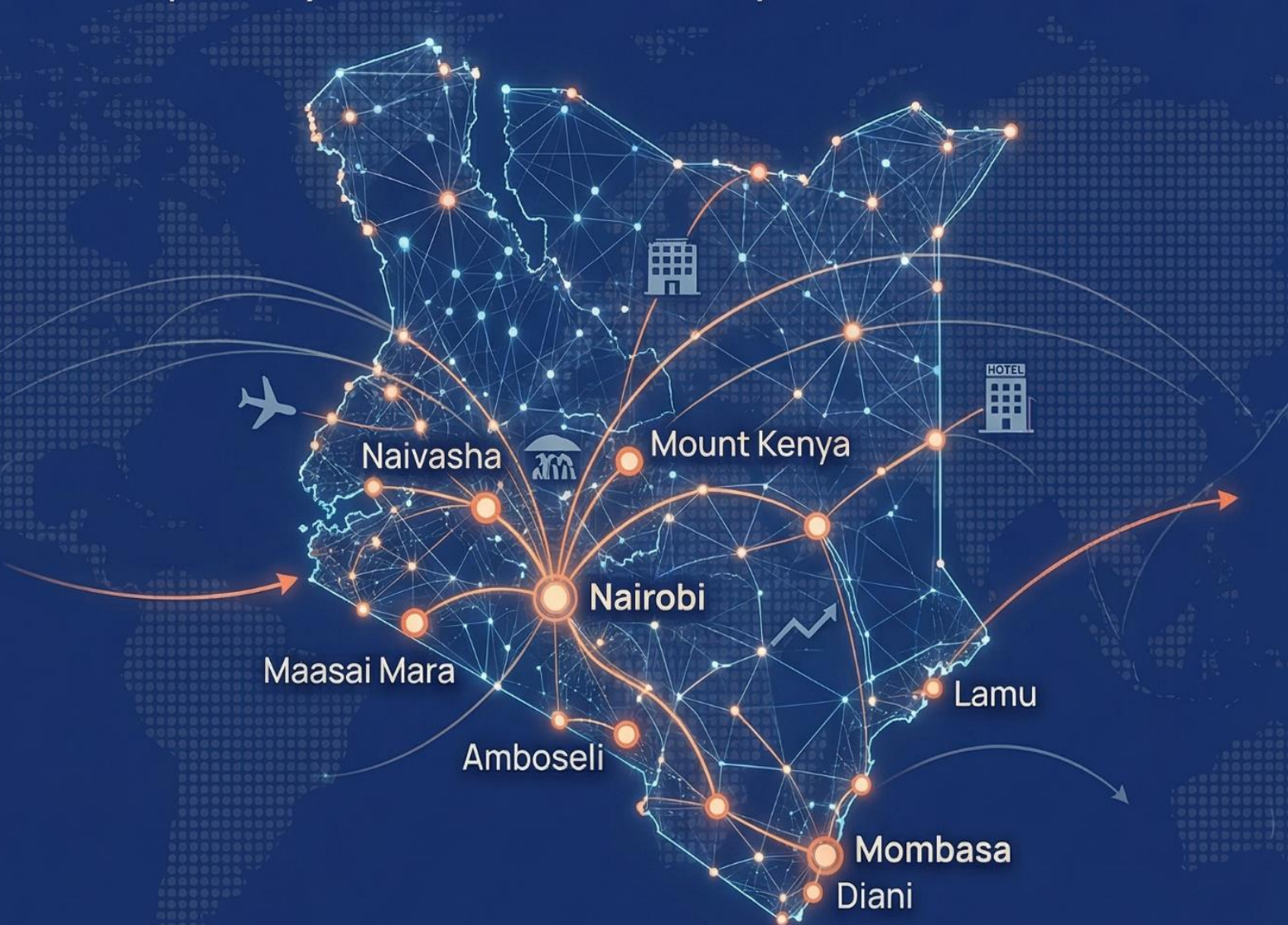


Kenya Tourism & Hospitality Sector Report 2026

Strategic Insights for Tourism, Travel, and
Hospitality Investment in Kenya



Prince Muraguri
Founder — Econsult Africa

**Econsult Africa****Economic Intelligence. Real Decisions.**

KENYA 2026

TOURISM & HOSPITALITY

INTELLIGENCE BRIEF

The fastest-growing sector in the economy is also the one most likely to be derailed by a calendar date: *August 2027*.

Derived from the Kenya 2026 Economic Outlook | Econsult Africa Sector Intelligence Series

Contents

Section 1: Macro Context in 60 Seconds	4
Section 2: Sector Performance and Trajectory	5
Section 3: Policy and Regulatory Environment	7
Section 4: Risk Map	8
Section 5: Opportunity Map	10
Section 6: So What: Implications by Player Type	12
Section 7: Key Indicators to Watch	13
Section 8: References	14

Section 1: Macro Context in 60 Seconds

Here is a number that should reframe how you think about Kenya's economy: **17.7%**. That was the growth rate of accommodation and food services in Q3 2025. Not fintech. Not construction. **Hotels and restaurants** were the fastest-growing major sector in the Kenyan economy last year (Econsult Africa, 2026). International visitor arrivals through JKIA and Mombasa grew 9.9% to 578,234 passengers in that quarter alone. And for the calendar year, Kenya welcomed 1.8 million visitors in the first nine months of 2025, a 48.1% surge over the same period in 2024, driven by a visa-free entry policy that removed the friction that had been quietly suppressing arrivals for years (KNBS, 2025; Travel and Tour World, 2025a).

The World Travel and Tourism Council projects the sector's contribution will reach a record KSh 1.2 trillion in 2025, equivalent to more than 7% of GDP, supporting 1.7 million jobs — one in every twelve in the country — with domestic visitor spending alone projected at KSh 560 billion (WTTC, 2025). Tourism earnings reached KSh 458.2 billion in FY2024/25, up KSh 160.9 billion in just two years, driven by destination marketing, improved air connectivity, and a rise in average tourist spend from KSh 180,000 to KSh 189,000 (National Treasury, 2026). Post-pandemic recovery reached 95% of 2019 levels by end-2023, and 2024 arrivals surpassed 2 million for the first time (Gitnux, 2026; Travel and Tour World, 2025a).

But this sector carries a structural vulnerability that the headline numbers conceal. The Outlook's GDP projection of 5.2% for 2026 assigns tourism a meaningful contribution, while explicitly warning that **the opportunity window narrows as the 2027 election approaches**. Kenyan elections historically depress tourist bookings 12 to 18 months in advance as source markets (UK, Germany, US) issue or tighten travel advisories. Layer on the AFCON 2027 co-hosting (June-July 2027) and you have a sector facing a simultaneous infrastructure sprint, an election-driven booking cliff, and a CAF inspection regime that has already concluded none of Kenya's stadiums meet tournament standards (Econsult Africa, 2026; Citizen Digital, 2026). The macro backdrop is permissive: the KES at 130/USD makes Kenya more affordable than at any point since 2019. The question is whether the politics and the infrastructure deliver.

This brief draws primarily on the Kenya 2026 Economic Outlook by Econsult Africa, supplemented by publicly available data through March 2026. Where more recent data updates the Outlook's figures, this is noted explicitly. All 2026 projections are forward-looking assessments.

For the full macroeconomic analysis, see the Kenya 2026 Economic Outlook (<https://econsult.africa/kenya-2026>).

Section 2: Sector Performance and Trajectory

The Quiet Recovery That Stopped Being Quiet

The Outlook characterises tourism as “the quiet recovery.” Since its writing, the recovery has gotten loud. The sector’s projected contribution of KSh 1.2 trillion in 2025 would be a record that exceeds pre-pandemic levels by 24% (WTTC, 2025). International visitor spending reached KSh 288 billion in 2024, while domestic visitor spending totalled KSh 528 billion (WTTC, 2025). The average length of stay increased from 11.9 days in 2023 to 12.1 days in 2024, indicating tourists are spending more time and more money per visit (Travel and Tour World, 2025a). Bed-night occupancy rose 10.8%, from 4.52 million in FY2022/23 to 5.01 million in FY2024/25 (National Treasury, 2026).

The visa-free entry policy, implemented in early 2025, is the single most consequential recent reform. By removing administrative friction, Kenya unlocked a 48.1% arrival surge in the first nine months of 2025 (Travel and Tour World, 2025a). The USA remained the top source market with 265,310 arrivals in 2023, followed by the UK, Germany, and India (Gitnux, 2026). Domestic tourism is transforming the sector’s economics: Kenyan residents now comprise 56% of total bed nights during Easter, and the Tembea Kenya campaign has boosted local awareness by 30% (Gitnux, 2026). The tourism levy grew from KSh 3.3 billion to KSh 5.1 billion between FY2022/23 and FY2024/25, reflecting both higher volumes and improved collection (National Treasury, 2026).

Kenya’s product mix is diversifying beyond safari. Wellness tourism is growing at 10% year-on-year in destinations like Diani. Cultural heritage tourism is projected to grow 8% annually. Adventure, sports, and digital nomad tourism (Digital Nomad Visa proposals targeting 5,000 remote workers) are all expanding the addressable market (Gitnux, 2026; Travel and Tour World, 2026). Luxury safari accounts for 30% of receipts from lower visitor volumes, confirming that the revenue opportunity is in premiumisation, not mass market. The National Tourism Strategy 2025-2030 targets 5.5 million international arrivals by 2028 and daily tourist spend of KSh 500 million (Kenya Tourism Strategy, 2025). That target requires sustained annual growth of 15-20% from current levels.

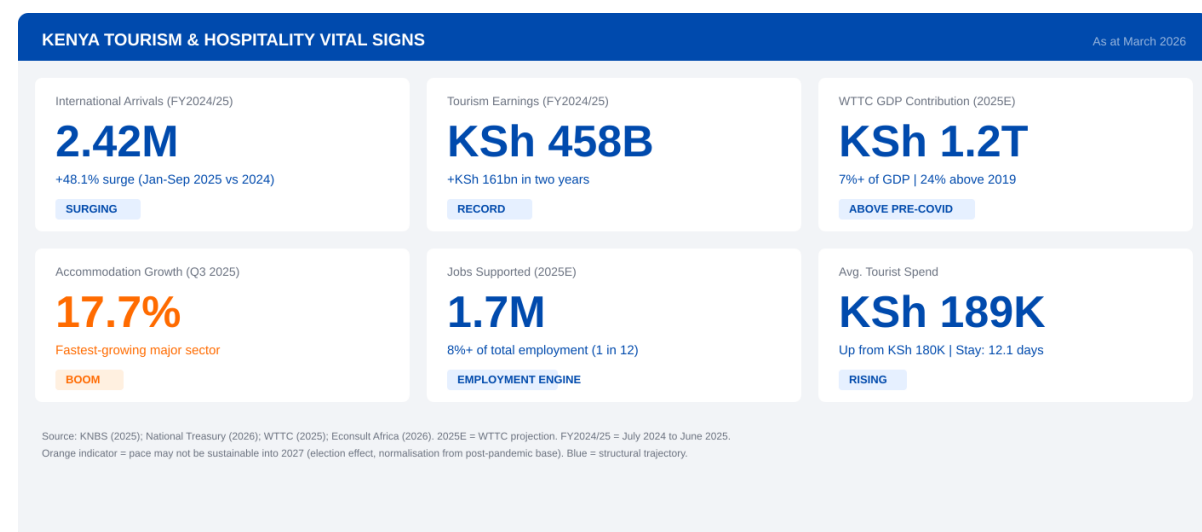


Figure 1: Tourism & Hospitality Vital Signs Dashboard, as at March 2026. 2025E figures are WTTC projections. Orange indicator flags a pace that may not be sustainable into the 2027 election cycle.

The AFCON Factor: Catalyst or Catastrophe?

The 2027 Africa Cup of Nations, co-hosted by Kenya, Uganda, and Tanzania from 19 June to 18 July 2027, is the largest sporting event Kenya has ever been asked to deliver. It is also the sector's most consequential near-term variable (CAF, 2023; Wikipedia, 2026). Twenty-four national teams. Hundreds of thousands of visiting fans. Global broadcast exposure. CHAN 2024 provided a smaller-scale proof-of-concept: the Kenya Tourism Board partnered with the Football Kenya Federation to cross-promote tourism destinations, and hotels reported strong occupancy during match periods (Travel and Tour World, 2025b).

The problem is the infrastructure. A CAF inspection report from February 2026 found that **none of Kenya's three proposed stadiums fully meet Category 4 requirements** for hosting (Citizen Digital, 2026). Talanta Stadium, the flagship new-build, remains under construction. Kasarani requires extensive upgrades including pitch reconstruction and modern floodlighting. CAF suggested Nyayo be used primarily as a training ground due to aging infrastructure. Additional venues at Bukhungu in Kakamega (on track) and Masinde Muliro in Bungoma (90% complete) are being prepared for group stage matches (KNA, 2025). The KSh 3.9 billion hosting fee must be settled by 30 March 2026, with the Sports Ministry requesting supplementary budget funds because AFCON preparations were not included in the FY2025/26 budget (Travel and Tour World, 2026a; Nation Africa, 2025). If Kenya delivers, AFCON 2027 could be a transformative tourism catalyst. If it stumbles, the reputational damage arrives at precisely the moment the sector is trying to establish Kenya as a world-class destination.

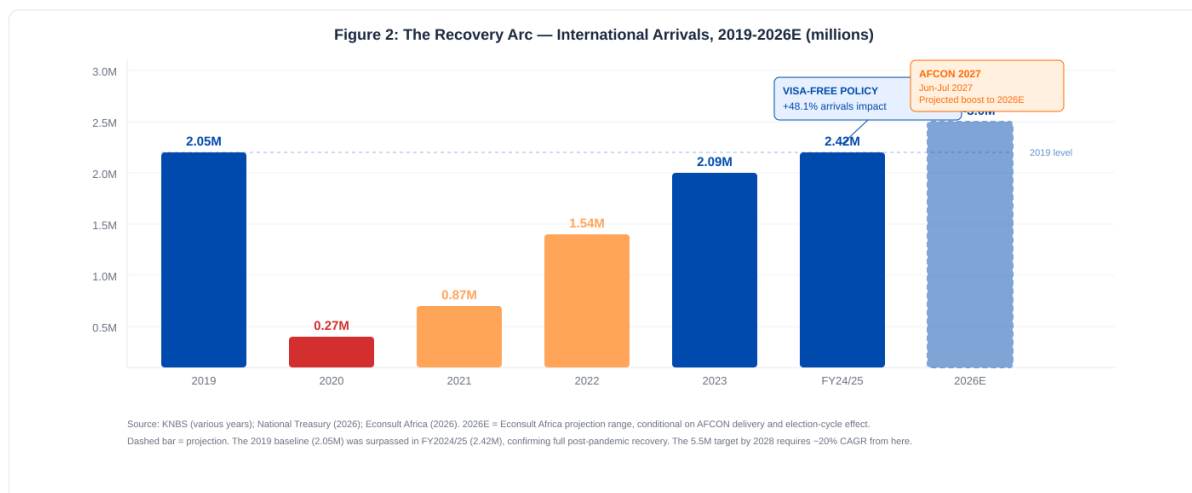


Figure 2: The Recovery Arc. International arrivals surpassed the 2019 pre-pandemic level in FY2024/25. The 2026 projection range (2.7-3.0M) is conditional on AFCON delivery, security stability, and the election-cycle effect on forward bookings.

Section 3: Policy and Regulatory Environment

Visa-Free: The Reform That Worked

The visa-free entry policy is the clearest example in Kenya's economy of a regulatory reform producing immediate, measurable impact. Within nine months, arrivals surged 48.1% (Travel and Tour World, 2025a). The initial electronic travel authorisation (eTA) system drew criticism for fees and short validity, leading the government to scrap it and move to frictionless entry (Travel and Tour World, 2025a). The lesson for other sectors: removing barriers works faster than adding incentives. The Outlook implicitly endorses this approach, noting that the weak KES at 129-130/USD already functions as a structural price reduction for international visitors (Econsult Africa, 2026).

AFCON Infrastructure: The Government's Biggest Delivery Test

The Sports and Arts Infrastructure Masterplan (SAIM) encompasses Talanta Stadium (50,000-seat new-build), Kasarani renovation (48,063 post-renovation capacity), Nyayo refurbishment, and Kipchoge Keino Stadium in Eldoret (Buildmart Africa, 2023; Pulse Sports, 2025). The defence ministry was designated as primary executing agency. CS Salim Mvurya has confirmed Bukhungu (Kakamega) and Masinde Muliro (Bungoma) stadiums as additional AFCON venues. The FY2026/27 budget is expected to front-load sports and transport infrastructure as part of the pre-election visibility strategy (National Treasury, 2026). The National Tourism Strategy 2025-2030 aligns accommodation, transport, and hospitality standards with AFCON preparation timelines (Kenya Tourism Strategy, 2025).

The Security Variable

Tourism remains acutely sensitive to security perceptions. The Al-Shabaab threat persists, with the Outlook referencing a recent Garissa attack (Econsult Africa, 2026). UK, German, and US travel advisories directly correlate with booking volumes. Kenya's 99-project tourism security programme, funded through the tourism levy (growing to KSh 5.1 billion in FY2024/25), reflects this sensitivity (National Treasury, 2026). The 2027 election introduces an additional security variable: the 2024 Gen Z protests demonstrated that political instability can erupt with minimal warning. For a sector where **perception equals reality**, the management of both actual security and the perception of security is mission-critical through mid-2027.

Section 4: Risk Map

Tourism has the most **asymmetric risk profile** of any sector in this series. The upside is large and tangible: AFCON 2027, visa-free momentum, a weak shilling, and diversifying products. The downside is also large, and it has a specific date attached to it. Every risk in this sector interacts with the August 2027 election.

Risk 1: Election-Driven Booking Cliff (Probability: High | Impact: Medium-High)

Kenyan elections have historically depressed tourist bookings 12-18 months in advance. Source markets issue travel advisories, corporate travel policies restrict Kenya bookings, and tour operators redirect clients to Tanzania and Rwanda. **Trigger:** International media coverage of political tensions; UK/German/US travel advisory tightening. **Early warning:** Forward booking data declining from Q3 2026; JKIA passenger forecasts flattening; tour operator redirections. **Transmission:** The 17.7% accommodation growth could stagnate or contract in late 2026 and H1 2027. Hotels that expanded capacity on the strength of 2025 performance face occupancy risk (Econsult Africa, 2026).

Risk 2: AFCON Infrastructure Failure (Probability: Medium | Impact: High if it occurs)

CAF's February 2026 inspection found no Kenyan stadium meets Category 4 standards. The KSh 3.9 billion hosting fee was not budgeted in FY2025/26. Talanta is under construction, Kasarani needs extensive upgrades (Citizen Digital, 2026). **Trigger:** CAF deadline missed; construction behind schedule; hosting rights revoked or matches reallocated. **Early warning:** CAF inspection reports; Talanta construction milestones; hosting fee payment confirmation. **Transmission:** Reputational damage undermining the broader tourism brand; wasted infrastructure investment; loss of the once-in-a-generation sports tourism catalyst.

Risk 3: Security Incident (Probability: Low-Medium | Impact: Severe if it occurs)

A single high-profile security incident targeting tourists or tourist infrastructure could trigger immediate travel advisory upgrades and mass cancellations. **Trigger:** Attack in tourist area (coastal, safari, urban). **Early warning:** Intelligence; Al-Shabaab regional activity; Somalia instability. **Transmission:** Immediate and disproportionate: one incident can erase years of marketing investment. Tourism is the sector where perception equals reality (Econsult Africa, 2026).

Risk 4: Regional Competition Intensifies (Probability: Medium-High | Impact: Medium)

Tanzania (Serengeti, Zanzibar), Rwanda (gorilla tourism, Meetings), and Ethiopia are investing aggressively. Rwanda's premium pricing strategy and Tanzania's growing safari market directly compete for the same source markets. **Trigger:** New direct European/US flights to Kigali or Dar es Salaam. **Early warning:** UNWTO market share data; airline route announcements; source market surveys. **Transmission:** Kenya's wildlife product is globally unique, but the coastal product is substitutable. Price-sensitive segments may shift (Econsult Africa, 2026).

Risk 5: Global Recession (Probability: Medium | Impact: Medium)

Tourism is inherently discretionary. A recession in source markets directly compresses long-haul leisure travel budgets. **Trigger:** UK/Eurozone recession; US consumer confidence decline; airline capacity cuts. **Early warning:** Source market GDP and consumer confidence; airline load factors on Nairobi routes. **Transmission:** Luxury safari segment is relatively insulated (30% of receipts from lower volumes) but mid-market contracts sharply (Gitnux, 2026).

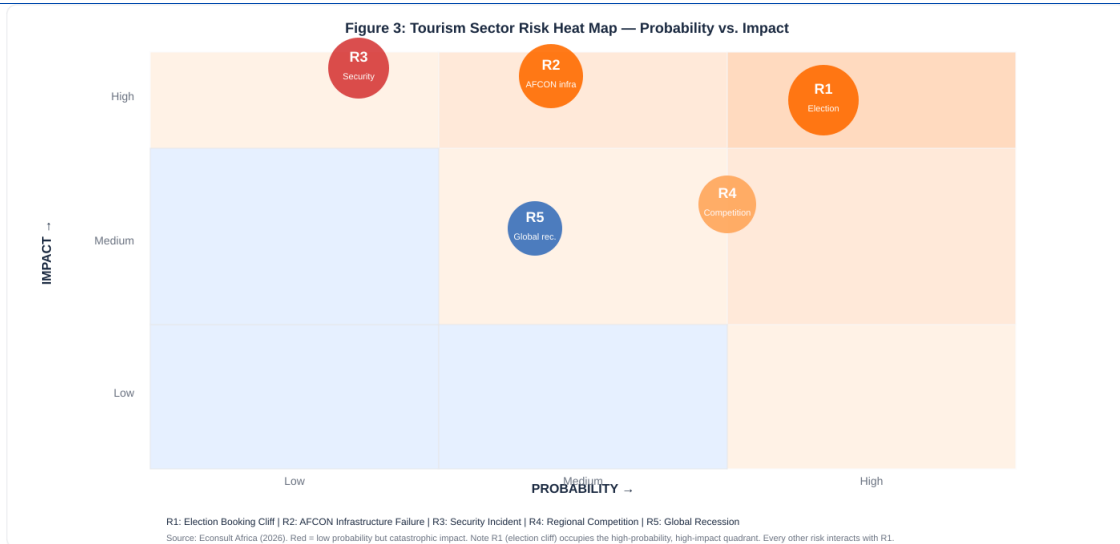


Figure 3: Tourism Sector Risk Heat Map, assessed March 2026. Risk 1 (election booking cliff) sits in the high-probability, high-impact quadrant — the only sector in this series with such a positioned risk. Risk 3 (security) is low-probability but carries catastrophic potential if triggered.

Section 5: Opportunity Map

Opportunity 1: AFCON 2027 as Tourism Catalyst (6-18 months)

Thesis: A successful AFCON is the single largest tourism marketing event in Kenya's history. A month of global broadcast exposure, hundreds of thousands of visiting fans, and demonstrated hosting capability would permanently elevate Kenya's brand. CHAN 2024 provided the proof-of-concept. **Evidence:** 24 teams; tri-nation format; KTB-FKF cross-promotion model. **Risk:** Infrastructure delivery; CAF compliance; KSh 3.9bn fee; political instability. **Time horizon:** The window opens June 2027. Positioning must happen in 2026 (CAF, 2023; Travel and Tour World, 2025b; Citizen Digital, 2026).

Opportunity 2: Visa-Free Structural Momentum (ongoing)

Thesis: The 48.1% surge following visa-free implementation demonstrates massive suppressed demand. This is structural, not a one-year bounce. The 5.5 million arrival target by 2028 is currently on-trajectory. **Evidence:** 1.8M arrivals Jan-Sep 2025 vs 1.27M prior year; average stay increasing; average spend increasing; domestic tourism growing (Travel and Tour World, 2025a; National Treasury, 2026). **Risk:** Security incident reverses perception; election dampens momentum. **Time horizon:** Structural with potential short-term disruption.

Opportunity 3: Premium and Niche Diversification (2-5 years)

Thesis: Growth segments are wellness (+10% YoY, Diani), cultural heritage (+8% projected), adventure, sports, and digital nomad tourism. Luxury safari captures 30% of receipts from a fraction of volumes, proving premiumisation over mass market. **Evidence:** Product diversification under Magical Kenya Signature experiences; OTA bookings up 22%; sustainable tourism certifications up 12% (Gitnux, 2026; National Treasury, 2026). **Risk:** Niche segments require specialised infrastructure Kenya's tourism institutions are not yet structured to deliver. **Time horizon:** Investment now pays dividends from 2028 onward.

Opportunity 4: The Weak KES as Competitive Advantage (12-24 months)

Thesis: KES at 129-130/USD versus sub-100 in 2019-2020 delivers a ~30% effective price reduction for international tourists without any change in product quality. **Evidence:** Average tourist spend is rising despite the weaker currency, meaning tourists are buying more. The Outlook projects KES stability at 128-131 through 2026 (Econsult Africa, 2026). **Risk:** KES appreciation (unlikely in base case); domestic inflation eroding the advantage. **Time horizon:** As long as KES remains above 125/USD.

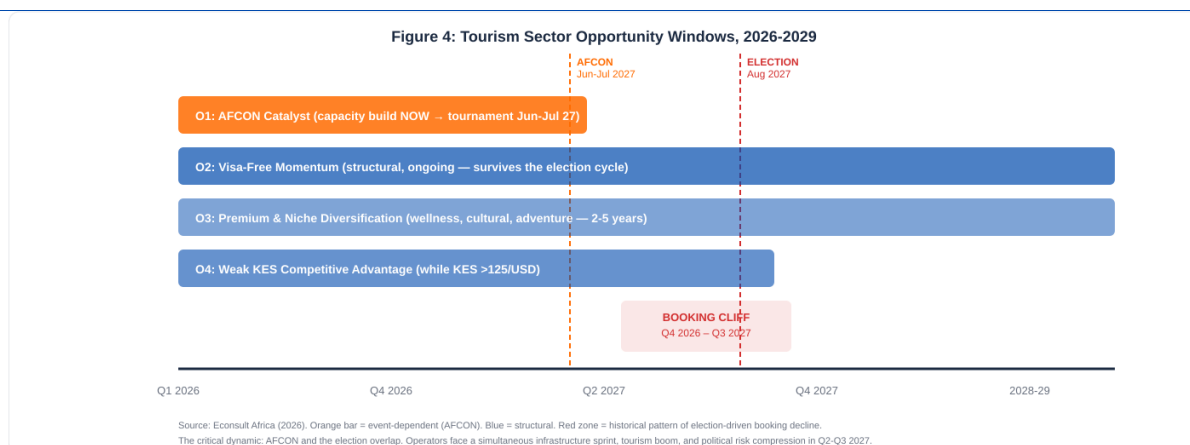


Figure 4: Tourism Sector Opportunity Windows, 2026-2029. The critical dynamic: AFCON and the election overlap in Q2-Q3 2027. Operators face a simultaneous infrastructure sprint, tourism boom, and political risk compression. The booking cliff zone (red) is the historical pattern.

Section 6: So What: Implications by Player Type

For Operators (hotels, lodges, tour operators, airlines)

The next 15 months are the best window for capacity expansion before the election effect begins. Operators investing in rooms, experiences, and marketing now capture visa-free surge and AFCON boost. Those who wait face a 6-12 month recovery period post-election. **Diversify beyond safari.** Wellness, cultural heritage, and sports tourism are growing faster. The coastal product (Mombasa, Diani, Lamu) is under-marketed relative to the safari brand. **Build AFCON packages now.** Match-plus-safari or match-plus-beach packages capture a market Tanzania and Uganda will also target.

For Investors (hospitality, real estate, transport)

Kenya's tourism sector is at an inflection point. KSh 1.2 trillion contribution, 1.7 million jobs, 48% arrival growth represent genuine structural tailwinds. **Investment thesis:** mid-range accommodation in Nairobi (AFCON + business travel demand gap); premium eco-lodges in conservancies (luxury segment growth); transport infrastructure (airport transfers, domestic flights). **Exit risk:** The election introduces a valuation cliff. Structure investments with a 2028 exit horizon (post-election recovery) rather than 2027.

For Policymakers (Ministry of Tourism, KTB, KWS)

Deliver AFCON. Nothing else matters as much for the sector's credibility. Stadium construction, hosting fee, accommodation standards, transport logistics must be treated as national priority. **Maintain security perception.** Travel advisory management is as consequential as security operations. Pre-empt source market concerns with transparent communication. **The visa-free policy is working. Do not reverse it.** Any reimposition of visa requirements for political or revenue reasons would be catastrophic.

For Development Partners (DFIs, UNWTO, multilaterals)

Tourism is Kenya's most employment-intensive sector per dollar of revenue. At 1.7M jobs, it employs more people than any sector except agriculture. DFI investment in mid-range accommodation (addressing the gap between luxury lodges and budget guesthouses), community conservancy financing, and sustainable tourism certifications has high development impact. **AFCON infrastructure financing** for accommodation and transport upgrades in host cities would leave lasting tourism assets beyond the tournament.

Section 7: Key Indicators to Watch

Indicator	Current Value	Trend	Threshold	Source	Freq.
International arrivals	2.42M (FY24/25)	▲ Surging	YoY decline 2 quarters	KNBS/KTB	Quarterly
Tourism earnings	KSh 458.2bn (FY24/25)	▲ Record	Drops below KSh 380bn	Nat. Treasury	Annual
Accommodation growth	17.7% (Q3 2025)	▲ Fastest sector	Below 5% for 2 quarters	KNBS	Quarterly
Avg. tourist spend	KSh 189,000	▲ Rising	Falls below KSh 170K	KTB	Annual
AFCON readiness	No stadiums Cat. 4	▲ In progress	Talanta behind schedule	CAF / Sports Min.	Quarterly
KES/USD	130.0 (Mar 26)	▲ Slight weak.	Appreciates below 120	CBK	Daily
UK/US travel advisories	Standard caution	↔ Stable	Upgrade to “Avoid travel”	FCO/State Dept	As needed
Forward bookings H2 26	TBD	↔ Monitoring	Decline >15% vs prior year	KTB/operators	Monthly
Bed-night occupancy	5.01M (FY24/25)	▲ Rising	Drops below 4.5M	KNBS	Annual
Hosting fee (AFCON)	KSh 3.9bn due 30 Mar	Deadline today	Non-payment	Sports Ministry	One-off



Figure 5: Tourism Sector Projections Under Three Macro Scenarios (2026-2027). These are forward-looking assessments. The accommodation growth figure normalises from the 17.7% Q3 2025 base under all scenarios. The downside scenario is triggered by election instability combined with AFCON delivery failure.

Section 8: References

- Buildmart Africa. (2023). Ruto's multi-million plan to host the 2027 AFCON tournament in Kenya. Buildmart Africa.
- Citizen Digital. (2026, March 29). None of Kenya's stadiums meet AFCON 2027 standards — CAF report. Citizen Digital. <https://www.citizen.digital/article/none-of-kenyas-stadiums-meet-afcon-2027-standards-caf-report-n379771>
- Confederation of African Football. (2023, September 27). 2027 AFCON awarded to Kenya, Tanzania, and Uganda. CAF.
- Econsult Africa. (2026). Kenya 2026 economic outlook. Econsult Africa. <https://https://econsult.africa/intelligence-marketplace>
- Gitnux. (2026, January 7). Kenya tourism statistics: Market data report 2026. Gitnux. <https://gitnux.org/kenya-tourism-statistics/>
- Kenya National Bureau of Statistics. (2025). Quarterly GDP report, Q3 2025. KNBS. <https://www.knbs.or.ke>
- Kenya News Agency. (2025, November). Bukhungu, Masinde Muliro stadiums to host AFCON 2027. KNA. <https://www.kenyanews.go.ke>
- Kenya Tourism Strategy. (2025). Kenya National Tourism Strategy 2025-2030 (Draft, October 2025). State Department of Tourism. <https://www.tourism.go.ke>
- Nation Africa. (2025, December 31). Kenya enters crucial stage of 2027 AFCON preparations. Daily Nation. <https://nation.africa/kenya/sports/football/kenya-enters-crucial-stage-in-2027-afcon-preparations-5313274>
- National Treasury. (2026). Medium Term Expenditure Framework 2026/27-2028/29: Tourism sub-sector. Republic of Kenya. <https://www.tourism.go.ke>
- Pulse Sports Kenya. (2025, July 27). Ranking the stadiums set to host AFCON 2027 in Kenya. Pulse Sports. <https://www.pulsesports.co.ke>
- Travel and Tour World. (2025a, December 4). Kenya's tourism soars with 48% increase in visitor arrivals. Travel and Tour World. <https://www.travelandtourworld.com>
- Travel and Tour World. (2025b, August 26). How CHAN 2024 is shaping Kenya's sports tourism ahead of AFCON 2027. Travel and Tour World. <https://www.travelandtourworld.com>
- Travel and Tour World. (2026, October 20). Kenya gears up for major tourism growth by 2026. Travel and Tour World. <https://www.travelandtourworld.com>
- Travel and Tour World. (2026a, March). Kenya reaffirms commitment to co-host 2027 Africa Cup of Nations. Travel and Tour World. <https://www.travelandtourworld.com>
- Wikipedia. (2026, March 26). 2027 Africa Cup of Nations. Wikipedia. https://en.wikipedia.org/wiki/2027_Africa_Cup_of_Nations
- World Travel and Tourism Council. (2025, June 9). Kenya's travel & tourism sector set to inject a record KSh 1.2TN in 2025. WTTC. <https://wtcc.org/news/kenyas-travel-tourism-sector-inject-a-record-ksh1-point-2-tn-2025>

**Econsult Africa****Methodology**

This brief is derived from the Kenya 2026 Economic Outlook, a comprehensive macroeconomic assessment by Econsult Africa, supplemented by publicly available data through March 2026. All sources are cited in APA 7th edition format. All 2026 sector-level projections remain forward-looking assessments as at the date of publication.

Primary source: Econsult Africa. (2026). Kenya 2026 Economic Outlook. Econsult Africa. <https://econsult.africa/intelligence-marketplace>

For deeper analysis: Purchase the full Kenya 2026 Economic Outlook at <https://econsult.africa/kenya-2026>

For custom intelligence: Request an Organisation-Specific Economic Brief at <https://econsult.africa/contact>

© Econsult Africa. Economic Intelligence. Real Decisions.